

Our Ref: 250/LC/24

25 July 2003

Circular to Licensed Corporations Substantial Shareholders

This circular is to bring to the attention of licensed corporations of the provisions pertaining to substantial shareholders under the Securities and Futures Ordinance (“SFO”) and the related transitional arrangements.

Pursuant to section 131(1) of the SFO, a person shall not become or continue to be a substantial shareholder of a licensed corporation without first being approved by the Securities and Futures Commission (“SFC”). Under section 6 of Schedule 1 to the SFO, a reference to a substantial shareholder includes the person concerned and any of his associates.

Please note that the new definition of “associate” is wider than that under the repealed Securities and Futures Commission Ordinance or Leveraged Foreign Exchange Ordinance. In particular, as stipulated in paragraph (1) of the definition in Part 1 of Schedule 1 to the SFO, “associate”, in relation to a person, means –

in circumstances concerning the securities of or other interest in a corporation, or rights arising out of the holding of such securities or such interest, any other person with whom the person has an agreement or arrangement –

- (i) with respect to the acquisition, holding or disposal of such securities or such interest; or*
- (ii) under which they undertake to act together in exercising their voting power at general meetings of the corporations.*

The now wider definition of “associate” renders certain persons, who were not regarded as substantial shareholders under the former regime, to become so by operation of the new law. A person, being aware that he falls to be a substantial shareholder under such circumstances should as soon as reasonable practicable and in any event within 3 business days after he became so aware, apply to the SFC for approval to continue to be a substantial shareholder of the corporation. Pending the approval of the SFC, he may continue to enjoy his rights as substantial shareholder.

Separately, as transitional arrangements to the new regime, section 58 of Schedule 10 to the SFO provides that where approval to be a substantial shareholder has been given by the SFC under section 26A of the repealed Securities and Futures Commission Ordinance or section 14A of the repealed Leveraged Foreign Exchange Trading Ordinance, and the approval subsists immediately before the commencement of Part V of the SFO, the approval shall, upon such commencement, be deemed to have been granted under section 132 of the SFO.



In relation to the above transitional provisions, the SFC received enquiries on whether certain substantial shareholders of a licensed corporation, who have been subsisting since the first grant of the corporation's registration or licence under the former regime, are required to apply to the SFC for continuing to be substantial shareholders of that corporation under the SFO. On this matter, the SFC takes the view that persons approved as substantial shareholders, by virtue of their being disclosed to the SFC as being substantial shareholders at the point of approval of registration or licence of a corporation under the former regime, in addition to persons who were expressly approved as substantial shareholders of the corporation under the relevant repealed provisions, are not required to seek the SFC's approval to continue to be substantial shareholders of such corporation under section 132 of the SFO.

Should you have any queries on the above, please contact your responsible Intermediaries Relationship Manager of the Licensing Department.

Licensing Department
Intermediaries and Investment Products Division
Securities and Futures Commission

